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FM Practice Quiz M2

Question 1

What is the main advantage of using standard deviation over price range as a measure of volatility?

- ☐ It's always larger than price range
- ☐ It's easier to calculate
- ☐ It takes into account all data points not just extremes
- ☐ It's required by financial regulators



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QUESTIONS

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X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

What is the primary difference between a centralized and decentralized blockchain network?

- ☐ Decentralized networks have no single point of control

- ☐ Decentralized networks are always more secure
- ☐ Centralized networks use proof-of-stake consensus
- ☐ Centralized networks are faster and more efficient

Question 3

Which of the following is NOT a category of stock based on market capitalization?

- ☐ Large-cap
- ☐ Small-cap
- ☐ Mid-cap
- ☐ Mega-cap

Question 4

Which distribution is characterized by a single parameter called 'degrees of freedom' and can exhibit excess kurtosis?

- ☐ F distribution

- ☐ Log-normal distribution
- ☐ Student's t-distribution
- ☐ Normal distribution

Question 5

Assume the stock market is very efficient and no opportunity for stock value arbitrage trading, calculate the expected dividend (D_1) using the Gordon Growth Model if the current stock price is \$60 the required return is 10% and the growth rate is 5%.

- ☐ \$3.00
- ☐ \$4.00
- ☐ \$3.50
- ☐ \$2.50

Question 6

Calculate the excess kurtosis of a mixture of two normal distributions: 80% with mean 0 and standard deviation

1, and 20% with mean 0 and standard deviation 4.

- ☐ Approximately 0
- ☐ Approximately 7
- ☐ Approximately 10
- ☐ Approximately 3

Question 7

A company has 10 million shares outstanding and its current share price is \$25. What is its market capitalization?

- ☐ \$400 million
- ☐ \$100 million
- ☐ \$2.5 billion
- ☐ \$250 million

Question 8

Calculate the arithmetic return if a stock was bought for 100 and sold for 120.

- ☐ 0.2

☐ 20%☐ 25%☐ 15%

Question 9

Which of the following is true about logarithmic returns?

- ☐ They cannot be used with negative price changes
- ☐ They are only applicable for annual returns
- ☐ They are approximately equal to arithmetic returns for small changes
- ☐ They are always larger than arithmetic returns

Question 10

How would a company's decision to retain earnings instead of paying dividends likely

affect its stock price in the short term?

- ☐ The stock would be delisted from the exchange
- ☐ The stock price would definitely increase
- ☐ The stock price would remain unchanged
- ☐ The stock price might decrease

Question 11

What is the primary characteristic of growth stocks?

- ☐ They reinvest earnings to grow the company rather than pay dividends
- ☐ They always have a high dividend yield
- ☐ They are guaranteed to outperform the market
- ☐ They are only found in mature industries

Question 12

How does the presence of skewness in financial returns challenge the assumption of normality?

- ☐ It has no impact on the normality assumption.
- ☐ It only affects the standard deviation of the distribution
- ☐ It indicates an asymmetric distribution, violating the symmetry property of normal distributions
- ☐ It only affects the mean of the distribution

Question 13

What is the main advantage of using logarithmic returns over arithmetic returns?

- ☐ They are additive over time
- ☐ They are easier to calculate
- ☐ They are always positive
- ☐ They provide higher returns

Question 14

Which of the following is NOT a characteristic of a blockchain?

- ☐ All participants have a copy of the same ledger
- ☐ Transactions are centrally controlled and authorized
- ☐ Transactions are irreversible once validated
- ☐ Transactions are encrypted

Question 15

According to "Money And Debt: The Public Role of Banks", what

percentage of the current broad monetary aggregate (M3) consists of cash?

- ☐ 3%
- ☐ 15%
- ☐ 7%
- ☐ 25%

Question 16

What is the primary reason stock prices cannot be normally distributed?

- ☐ Stock prices are always positively skewed
- ☐ Stock prices always follow a log-normal distribution
- ☐ Stock prices cannot become negative
- ☐ The Central Limit Theorem doesn't apply to stock prices

Question 17

Which of the following best describes the relationship between variance and standard deviation?

- ☐ Variance is the square of standard deviation
- ☐ Variance is always larger than standard deviation
- ☐ Variance is the square root of standard deviation
- ☐ Variance and standard deviation are interchangeable terms

Question 18

What is the main conceptual difference between a bond buyer and a stock buyer?

- ☐ Neither provides a loan; both get direct ownership

- ☐ Both provide loans with fixed repayment dates
- ☐ The bond buyer provides a loan while the stock buyer gets direct ownership
- ☐ The bond buyer provides a loan with no repayment date while the stock buyer gets direct ownership

Question 19

What is the primary reason for a company to transition from being a growth stock to an income stock?

- ☐ The company has reached a mature stage where it can consistently generate profits and pay dividends

- ☐ It's a legal requirement for all companies after a certain number of years
- ☐ The company is experiencing financial difficulties and needs to attract more investors
- ☐ To reduce the company's tax burden

Question 20

Which of the following best describes the relationship between stock prices and returns?

- ☐ If stock prices are log-normally distributed, returns are normally distributed
- ☐ Stock prices and returns always follow the same distribution

- ☐ There is no consistent relationship between stock price and return distributions
- ☐ If stock prices are normally distributed, returns are log-normally distributed

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